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Unit 6

SUBSIDIARY BOOKS - I

Contents

6.1 Introduction
6.2 Meaning of subsidiary books
6.3 Types of subsidiary books
6.4 Advantages of subsidiary books
6.5 Purchases book
6.6 Purchases returns book
6.7 Sales book
6.8 Sales returns book
6.9 Bills of exchange
6.10 Bills receivable book
6.11 Bills payable book
6.12 Journal proper

Points to recall

The following points are to be recalled before learning subsidiary books:

- Goods
- Cash purchases
- Credit purchases
- Cash sales
- Credit sales
- Purchases returns
- Sales returns
- Assets
- Ledger account

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Learning Objectives

To enable the students to

- Understand the meaning and kinds of subsidiary books
- Apply the knowledge of accounting process in the preparation of subsidiary books
- Understand the method of recording of bill transactions
- Post entries from subsidiary books to ledger accounts

Key terms to know

- Purchases book
- Sales book
- Purchases returns book
- Sales returns book
- Debit note
- Credit note
- Bill of exchange
- Bills receivable book
- Bills payable book
- Journal proper